BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company Of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Testimony of:
Staff Management and Operations
Audit Panel

Jeremy Routhier
Chief Utility Accounting and
Finance

Angela Morina
Utility Analyst 2

Office of Accounting, Audits and
Finance

State of New York
Department of Public Service
Three Empire State Plaza
Albany, New York 12223-1350

Q. Members of the Staff Management and Operations Audit Panel (SMOAP or Panel) please state your names, employer, and business address.

A. Our names are Jeremy Routhier and Angela Morina. We are employed by the New York State Department of Public Service, referred to as the Department, at Three Empire State Plaza, Albany, New York 12223.

Q. Jeremy Routhier, what is your position at the Department?

A. I am employed as a Chief Utility Accounting and Finance in the Office of Accounting, Audits and Finance.

Q. Please describe your educational background and professional experience.

A. I hold a Bachelor of Arts in Sociology from the State University of New York at Albany, a Master of Public Administration from Marist College, and a Certificate in Business Contracts from Cornell University. I have been employed by the Department since April 2008. I supervise the Finance Policy and Management and Operations Audit Units within the Office of Accounting, Audits and Finance. Of relevance to this

Panel's testimony, the Management and Operations Audit unit oversees management and operations audits, reviews the implementation of the resulting recommendations, and analyzes management and executive incentive compensation programs. I have supervised more than a dozen management and operations audits of investor-owned utilities in New York, including Case 21-M-0193, referred to as the 2021 Management Audit, which was a comprehensive management and operations audit of Consolidated Edison Company of New York, Inc. (Con Edison or the Company) and Orange and Rockland Utilities, Inc. (O&R).

Q. Have you previously testified before the Commission?

A. Yes. I testified in the rate proceedings for Keyspan Gas East Corporation and The Brooklyn Union Gas Company in Cases 16-G-0058 and 16-G-0059, respectively, and the rate proceeding for National Fuel Gas Distribution Corporation in Case 23-G-0627.

Q. Angela Morina, what is your position at the Department?

A. I am employed as a Utility Analyst 2 in the

Management and Operations Audit unit of the Office of Accounting, Audits and Finance.

Q. Please describe your educational background and professional experience.

A. I hold a Bachelor of Science in Business Administration from Russell Sage College. I have been employed by the Department since March 2016.

Q. Please briefly describe your responsibilities at the Department.

A. I am responsible for the oversight of management and operations audits, as well as the implementation of the resulting recommendations. I am also responsible for analyzing incentive compensation in rate proceedings.

Q. Have you worked on management and operations audits of New York State utilities?

A. Yes. I have worked on multiple management and operations audits of electric and gas utility companies. Of relevance to these rate proceedings, I am the Project Manager for the 2021 Management Audit and the Assistant Project Manager in Case 18-M-0013, referred to as the Income Tax Accounting Audit, which is an

operations audit to investigate the income tax accounting of the Company, O&R, New York State Electric and Gas Corporation (NYSEG), and Rochester Gas and Electric Corporation (RG&E). I previously worked on Case 13-M-0314, which was a review of the accuracy and effectiveness of certain reliability and customer service systems at multiple gas and electric utilities, including Con Edison, that provide statistics to the Commission.

Q. Have you previously testified in a proceeding before the Commission?

A. Yes. I testified before the Commission in the previous rate proceedings for Con Edison, Cases 22-E-0064 and 22-G-0065. I also testified in the rate proceedings for O&R in Cases 24-E-0060 and 24-G-0061 and Cases 21-G-0073 and 21-E-0074, and NYSEG and RG&E in Cases 19-E-0378, 19-G-0379, 19-E-0380, and 19-G-0381.

Q. Will the Panel refer to any information Con Edison provided during the discovery phase of this proceeding in your testimony?

A. Yes, we will refer to, and have relied upon, the Company's responses to information requests,

referred to as IRs. These responses are contained in Exhibit___(SMOAP-1). We will refer to these responses by the designation the trial staff assigned, e.g., DPS-123.

Q. What is the purpose of your testimony?

A. Our testimony will discuss Con Edison's implementation efforts related to recent management and operations audits and respond to the Company's cost recovery requests for conducting audits.

Q. What is a management and operations audit?

A. Management and operations audits review a utility's construction program planning process, operational efficiency, and other matters. The Commission conducts comprehensive management and operations audits of large, investor-owned utilities, including Con Edison, on a five-year cycle. The Commission also conducts focused operations audits of specific topics as needed.

Q. What specific audits will you discuss in your testimony?

A. We will discuss three audits in our testimony. They are the comprehensive management and operations audit of Con Edison and O&R in Case

14-M-0001, referred to as the 2014 Management Audit, the Income Tax Accounting Audit, and the 2021 Management Audit. The 2014 Management Audit, the Income Tax Accounting Audit, and the 2021 Management Audit were open audits at the time of the previous rate proceedings for the Company in Cases 22-E-0064 and 22-G-0065.

Q. What is the status of the 2014 Management Audit?

A. The audit is complete. On January 13, 2023, Staff filed a letter with the Secretary to the Commission stating that Con Edison had satisfactorily implemented all recommendations.

Q. What is the status of the Income Tax Accounting Audit for Con Edison?

A. The Income Tax Accounting Audit is ongoing for Con Edison.

Q. What is the background and status of the 2021 Management Audit?

A. The Commission initiated this audit on May 13, 2021, in its Order Initiating a Management Audit in Case 21-M-0193. On October 9, 2021, in its Order Directing Utilities to Enter Into Contract with Selected Independent Auditor, the Commission selected NorthStar Consulting Group,

which we will refer to as NorthStar, to conduct the audit. The Commission released NorthStar's Final Report on February 16, 2023, in its Order Releasing Audit Report. On October 12, 2023, in its Order Approving Implementation Plan with Modification and Denying Deferral Authority, which we will refer to as the Implementation Order, the Commission approved Con Edison and O&R's plan to implement the audit recommendations. Con Edison and O&R filed their most recent implementation update on March 28, 2025. In the update, Con Edison and O&R indicate they have completed 32 of the 42 recommendations.

Q. Is the Company on track to complete the remaining ten recommendations according to the implementation steps and schedules detailed in the Commission-approved implementation plan?

A. No. Three of the recommendations remain on track, but seven have been delayed. The Company has sought approval for schedule extensions for each of them from the Director of the Department's Office of Accounting, Audits and Finance, per the process detailed in the

Implementation Order.

Q. Did the Department approve these schedule extensions?

A. Yes, though one recent request related to Recommendations VIII-10, VIII-11, VIII-13, and VIII-14 remains under review. These four recommendations pertain to the Company's Personal Services Group, which conducts meter and billing investigations in response to customer complaints. Specifically, these recommendations require Con Edison to perform a workload analysis for the Personal Services Group, cross-train call center customer service representatives to assist the Personal Services Group, develop a formal plan to reduce the Personal Services Group's backlog of investigations, and modify Company policies regarding the timing of shared meter investigations. Con Edison indicated in the implementation plan approved and modified by the Commission that it would complete these four recommendations by December 31, 2024. In November 2024, the Company submitted a request for a timeline extension to June 30, 2025, which

Staff granted. On May 16, 2025, Con Edison submitted a request for a second timeline extension to February 28, 2026, citing delays in training and the need for increased staffing as the reasons. Further, the Company's March 28, 2025, implementation update noted that the backlog in Personal Services cases has increased as a result of the Company's transition to a new customer billing system and that the Company has only reduced the backlog of cases by 20 percent to date. Staff is currently reviewing the Company's request for additional time to complete these recommendations.

Q. Did the Company reflect any costs or savings in the Historic Test Year (HTY) resulting from the implementation of any of the recommendations from the 2021 Management Audit?

A. No. According to Con Edison's response to DPS-256 the recommendations applicable to the Company are qualitative, and a cost-benefit analysis is not easily quantifiable. The Company also states that any savings resulting from the implementation of a recommendation will be reflected in the HTY data.

Q. Were there any recommendations from these audits that are relevant to these proceedings?

A. Yes, there are two recommendations from the 2021 Management Audit that are relevant to these rate proceedings: Recommendations VII-2 and IX-3.

Q. Please describe Recommendation VII-2.

A. As noted on page A-41 of NorthStar's Final Report, Recommendation VII-2 is that Con Edison perform an assessment of estimating accuracy for large capital projects to identify potential improvements. In the Company's December 31, 2024, Implementation Plan update, Con Edison reported that it completed implementing this recommendation on November 30, 2024.

Q. Why is Recommendation VII-2 relevant to these rate proceedings?

A. Con Edison has been developing a standard estimating process since the 2014 Management Audit. During the audit, NorthStar found that Con Edison reviewed project cost performance but focused on project management, oversight, and funding, rather than estimating accuracy. Con Edison indicated that it was planning to perform a quantitative review of project estimating data

to assess budget, estimate, and forecast versus actual comparisons. Because Recommendation VII-2 was implemented near the end of the HTY, any resulting changes to estimating cost assumptions, associated improvements, and resulting benefits or savings would not be reflected in the HTY.

Q. Please describe Recommendation IX-3.

A. As noted on page A-64 of NorthStar's Final Report, Recommendation IX-3 is that Con Edison develop a process for identifying, measuring, and tracking actual benefits and savings achieved from information technology projects. In the Company's March 31, 2025, Implementation Plan update, Con Edison reported that it continues to consider whether to adopt the resulting process more widely.

Q. Why is Recommendation IX-3 relevant to these proceedings?

A. During the audit, NorthStar found that Con Edison was implementing a methodological approach to more accurately tracking the value realized from system implementation. NorthStar states that a formal process such as the one

being implemented by Con Edison would enable more accurate estimates, tracking, and reporting of savings and benefits from capital projects. Because Recommendation IX-3 will be implemented during the bridge period between the HTY and the RY, any resulting changes, associated improvements, and resulting benefits or savings would not be reflected in the HTY.

Q. How should these recommendations be considered in these proceedings?

A. We believe these recommendations should be considered in the context of the labor productivity adjustment, which is discussed in the Staff Accounting Panel testimony. Given the timing of implementation, we would expect the efficiency gains under Recommendations VII-2 and IX-3 to materialize during the RY. However, these improvements are difficult to identify and quantify with precision, and are, therefore, more appropriately captured by a productivity adjustment.

Q. Is Con Edison requesting recovery of any costs associated with conducting management and operations audits?

A. The Company proposes to defer the actual cost incurred of any management and operations audit that the Commission might conduct during the rate plan for recovery in Con Edison's next base rate cases.

Q. Do you agree with the Company's proposed treatment of management and operations audit costs?

A. Yes, but with some limits. We agree that the Commission should allow Con Edison to defer the cost of comprehensive management and operations audits should the Company incur such costs during its rate plans. However, we recommend that the recovery of any deferral be limited to the costs allowed pursuant to the contract.

Q. Does this conclude your testimony at this time?

A. Yes.